

Chapter 9

Foundation of Decision Making

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Learning Outcomes

1

Describe the eight steps in the decision-making process.

2

Explain the four approaches managers can use when making decisions

3

Classify decisions and decision-making styles

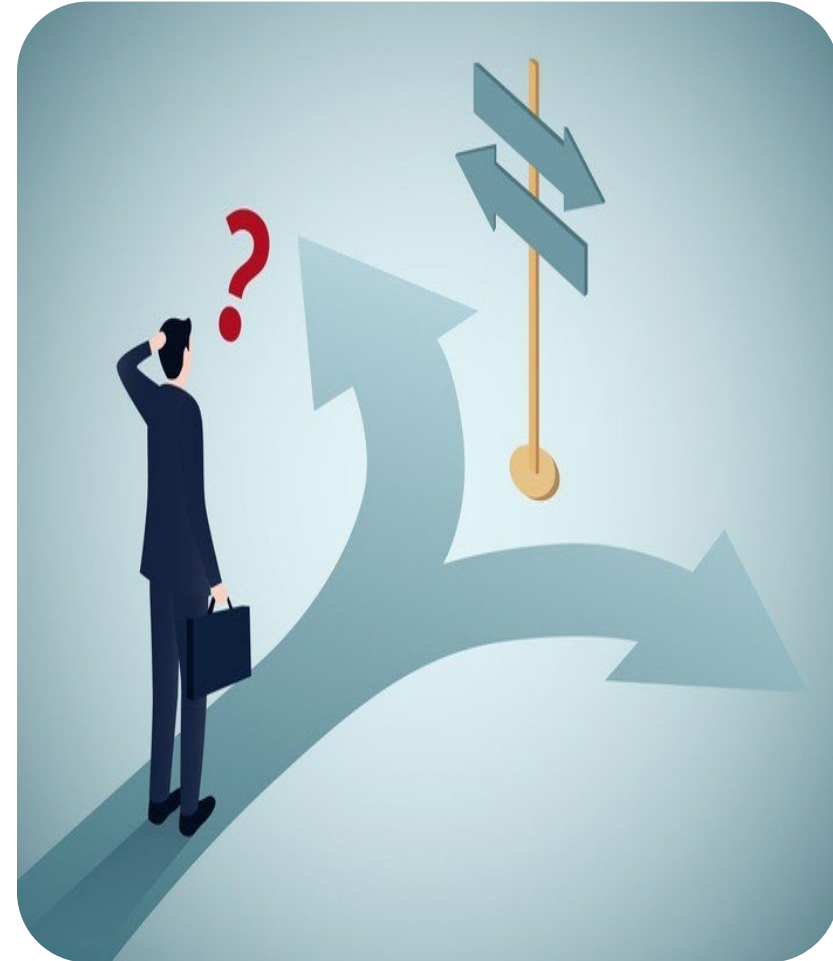
4

Explain how technology can improve decision making.

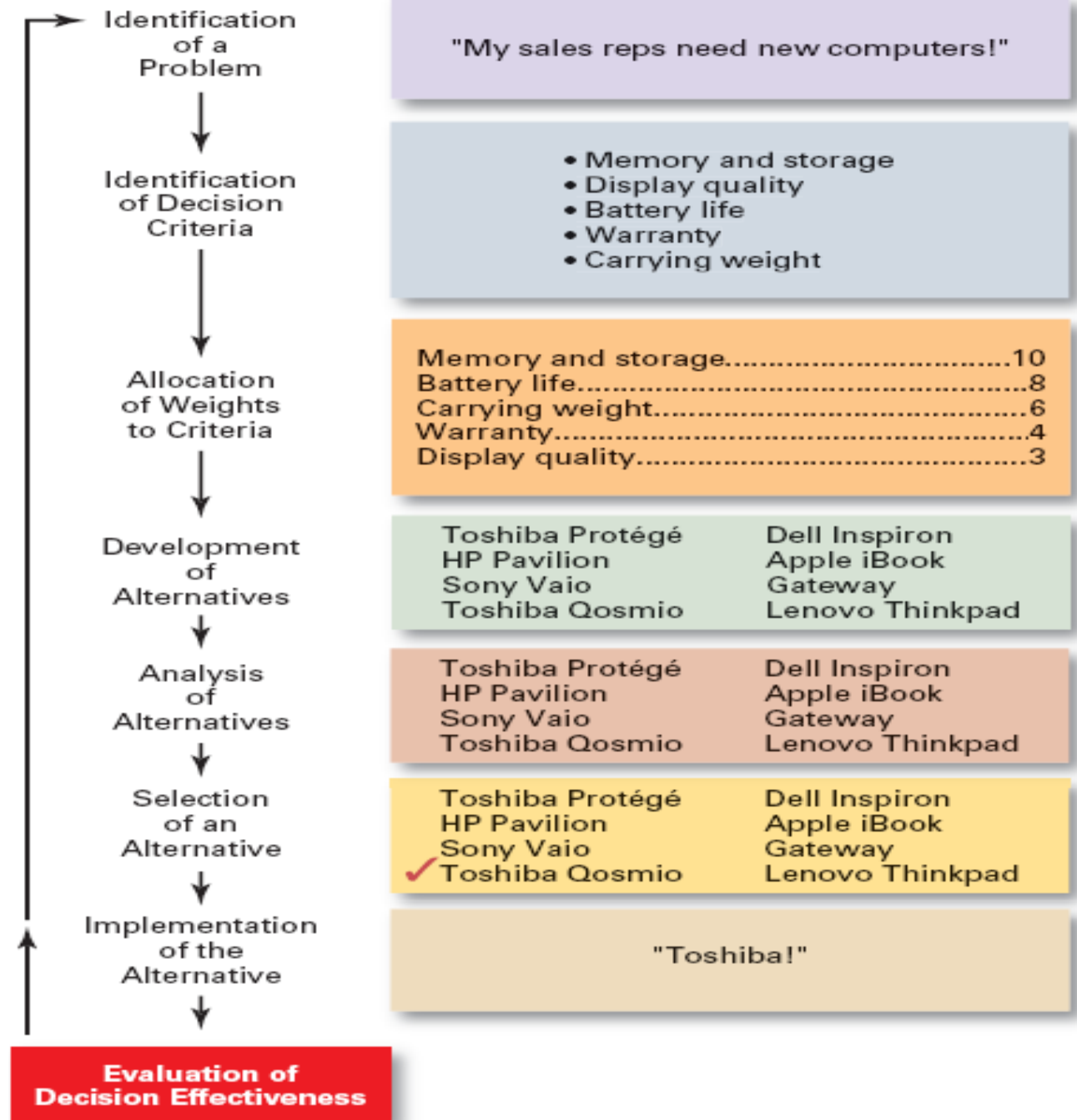
Decision Making

Decision

- A conclusion or resolution made after considering alternatives.
- Making a choice from **two** or more alternatives
- **Decision making is a PROCESS.** It's not just about the final choice, but the steps taken to get there.



The Decision-Making Process



Step 1: Identifying the Problem

The decision-making process begins with the existence of a problem

Problem is defined as discrepancy between an existing and desired state of affairs.

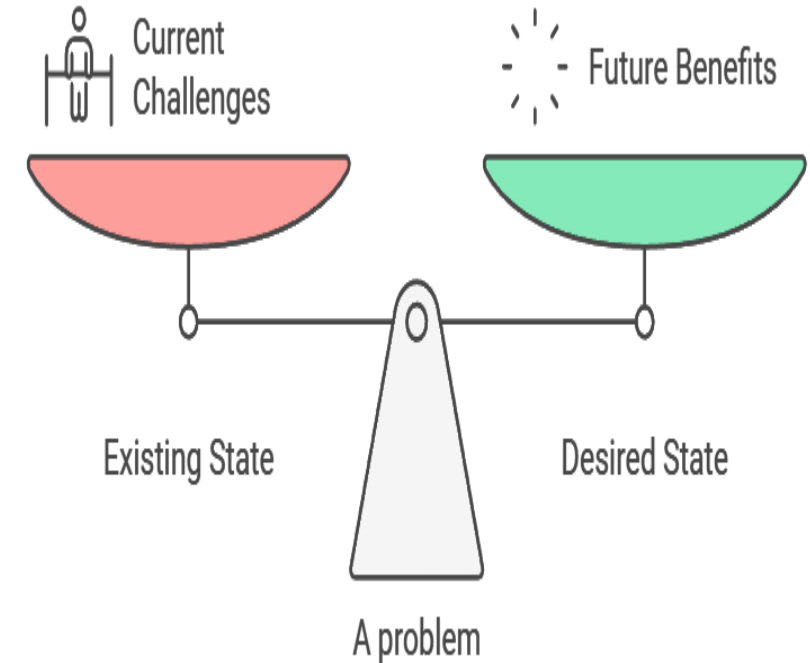
Characteristics of Problems

A problem becomes a problem when a manager becomes **aware of it**.

There is **pressure** to solve the problem.

The manager must have the **authority, information, or resources** needed to solve the problem.

For Example: **The problem is I want to buy a laptop**



Step 2: Identifying Decision Criteria

Decision criteria are factors that are important (relevant) to resolving the problem.

So here managers must determine what is relevant in making decision

Application :

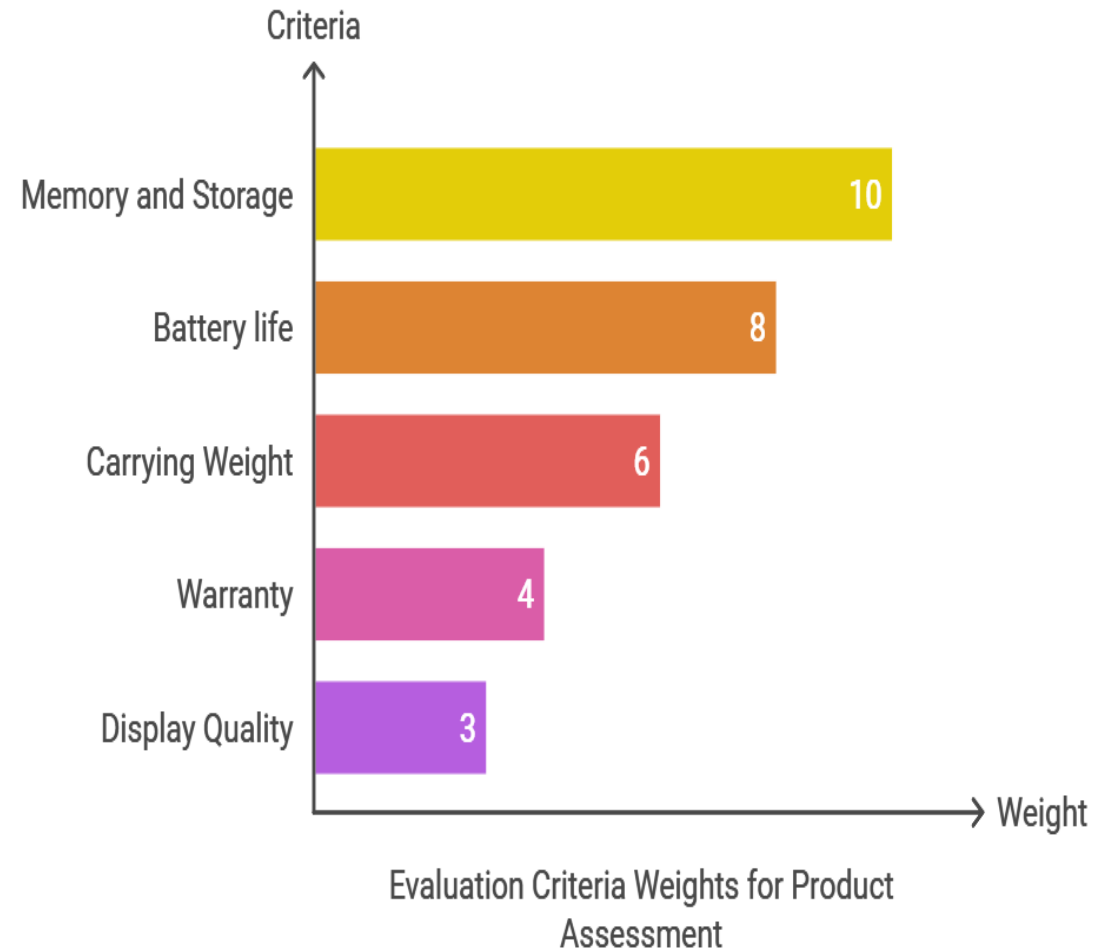
- Memory and Storage
- Battery life
- Carrying
- Warranty
- Display Quality



Step 3: Allocating Weights to the Criteria

At this step the decision maker must weight each item and **put the items in the correct priority order.**

A simple approach is to give the most important criterion a weight of 10 and assign weights to the rest.



Step 4: Developing Alternatives

The decision maker Identifying viable alternatives

And list them (without evaluation) that can resolve the problem.

Dell, HP, Huawei , Apple



Step 5: Analyzing Alternatives

- **Analyze each alternative's strengths and weaknesses**
 - An alternative's evaluation is based on its ability to resolve the issues identified in steps 2 and 3
 - **Research and Rate:** Gather information about each option and score them against your criteria.
 - **Not All Criteria Are Equal:** Assign weights to your criteria based on their importance.

Criterion	Memory & Storage	Battery life	Carrying weight	Warranty	Display quality
Dell	10	3	10	8	5
HP	8	7	7	8	7
Huawei	8	5	7	10	10
Apple	10	7	8	6	7

Step 6: Selecting an Alternative

- Multiply each alternative's score by the weight of that criterion.
- Choosing the best alternative
- The alternative with the highest total weight is chosen.

Criterion	Memory & Storage (10)	Battery life (8)	Carrying weight (6)	Warranty (4)	Display quality (3)	Total
Dell	10 x10 (100)	3x8 (24)	10x6 (60)	8x4 (32)	5x3 (15)	231
HP	8 x10 (80)	7x8 (56)	7x6 (42)	8x4 (32)	7x3 (21)	231
Huawei	8 x10 (80)	5x8 (40)	7 x6 (42)	10x4 (40)	10x3 (30)	232
Apple	10x10 (100)	7x8 (56)	8x6 (48)	6x4 (24)	7 x3 (21)	249

Step 7: Implementing the Alternative

- **Putting the chosen alternative into action.**
 - Conveying the decision to and gaining commitment from those who will carry out the decision.
- e.g; The purchasing manger will buy Apple for the company

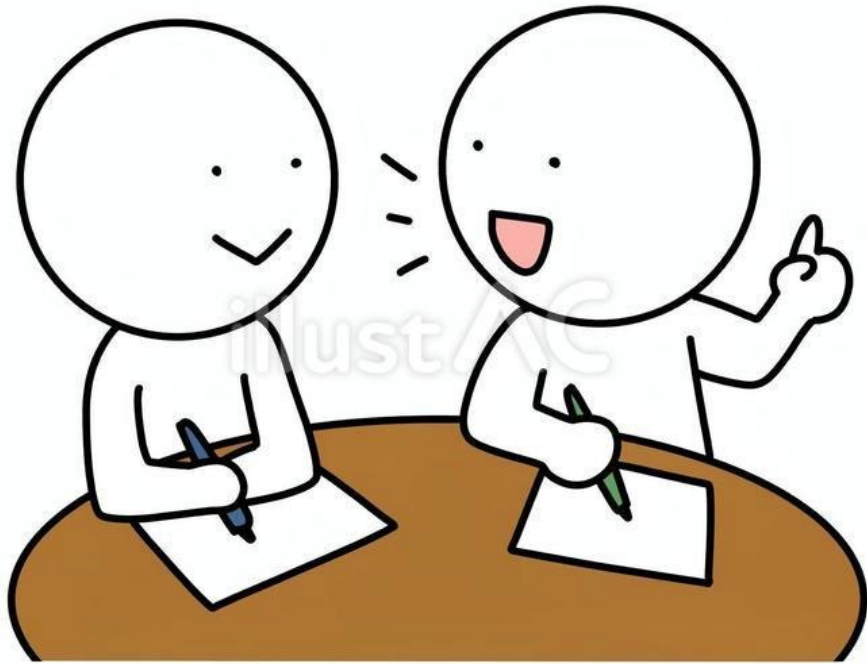


Step 8: Evaluating the Decision's Effectiveness

The soundness of the decision is judged by its outcomes.

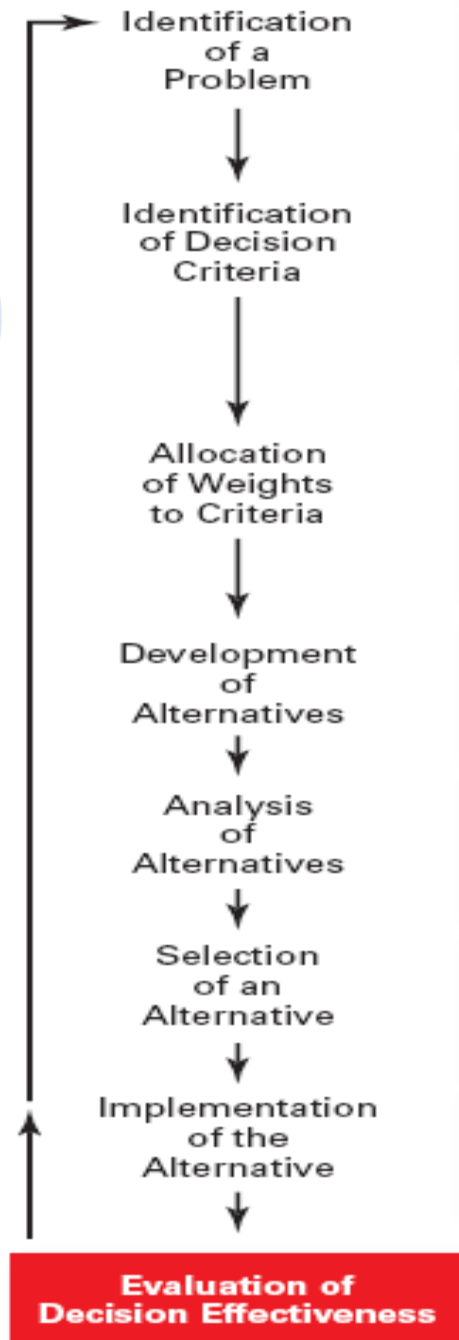
- How effectively was the problem resolved by outcomes resulting from the chosen alternatives?
- If the problem was not resolved, Manager may consider to return to previous step or may even consider starting the whole decision process over.





**ACTIVITY
WORKS**

Apply the Decision-Making process on a product that you recently purchase, or a decision have you have recently made?



"My sales reps need new computers!"

- Memory and storage
- Display quality
- Battery life
- Warranty
- Carrying weight

Memory and storage.....	10
Battery life.....	8
Carrying weight.....	6
Warranty.....	4
Display quality.....	3

Toshiba Protégé	Dell Inspiron
HP Pavilion	Apple iBook
Sony Vaio	Gateway
Toshiba Qosmio	Lenovo Thinkpad

Toshiba Protégé	Dell Inspiron
HP Pavilion	Apple iBook
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Toshiba Protégé	Dell Inspiron
HP Pavilion	Apple iBook
Sony Vaio	Gateway
✓ Toshiba Qosmio	Lenovo Thinkpad

"Toshiba!"

Approaches to Decision Making

Approaches to Decision-Making

Evidence-Based Management

Focuses on using data and evidence to guide decisions.



Rationality

Emphasizes logical and systematic decision-making processes.



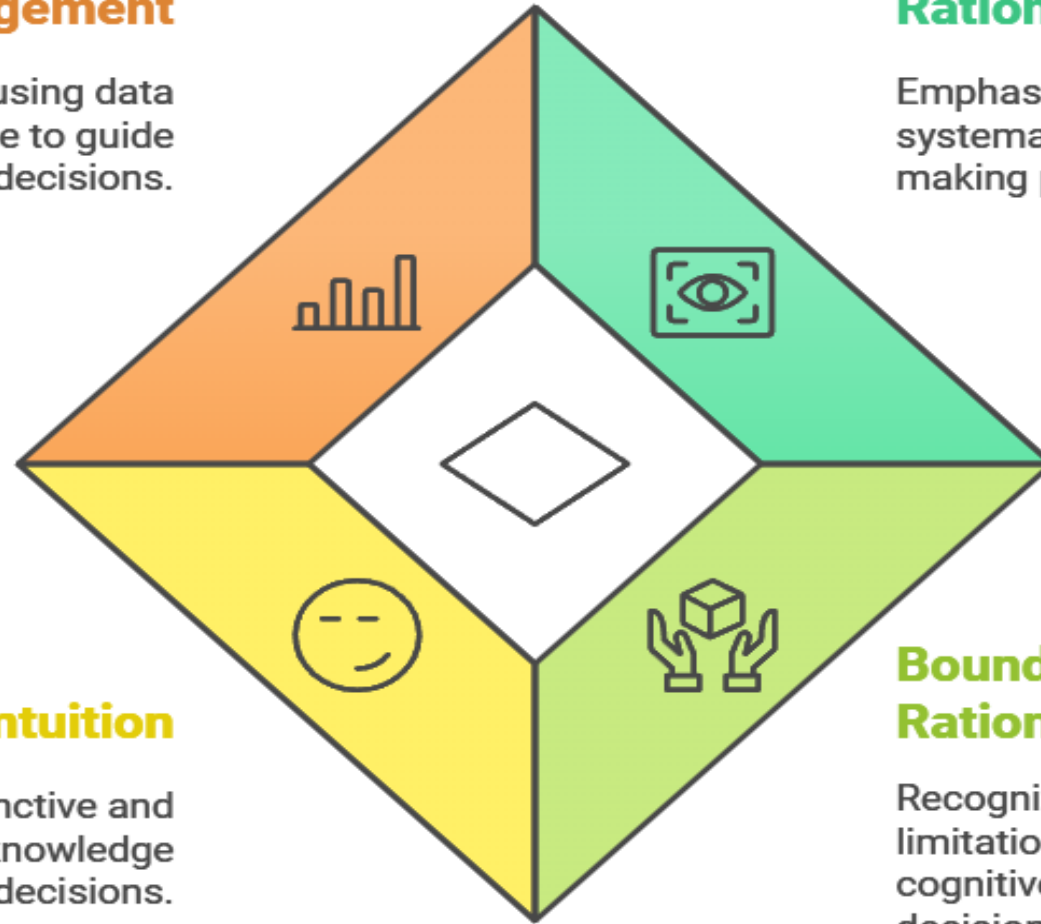
Intuition

Relies on instinctive and experiential knowledge for quick decisions.



Bounded Rationality

Recognizes the limitations of human cognitive capacities in decision-making.



1- Rationality

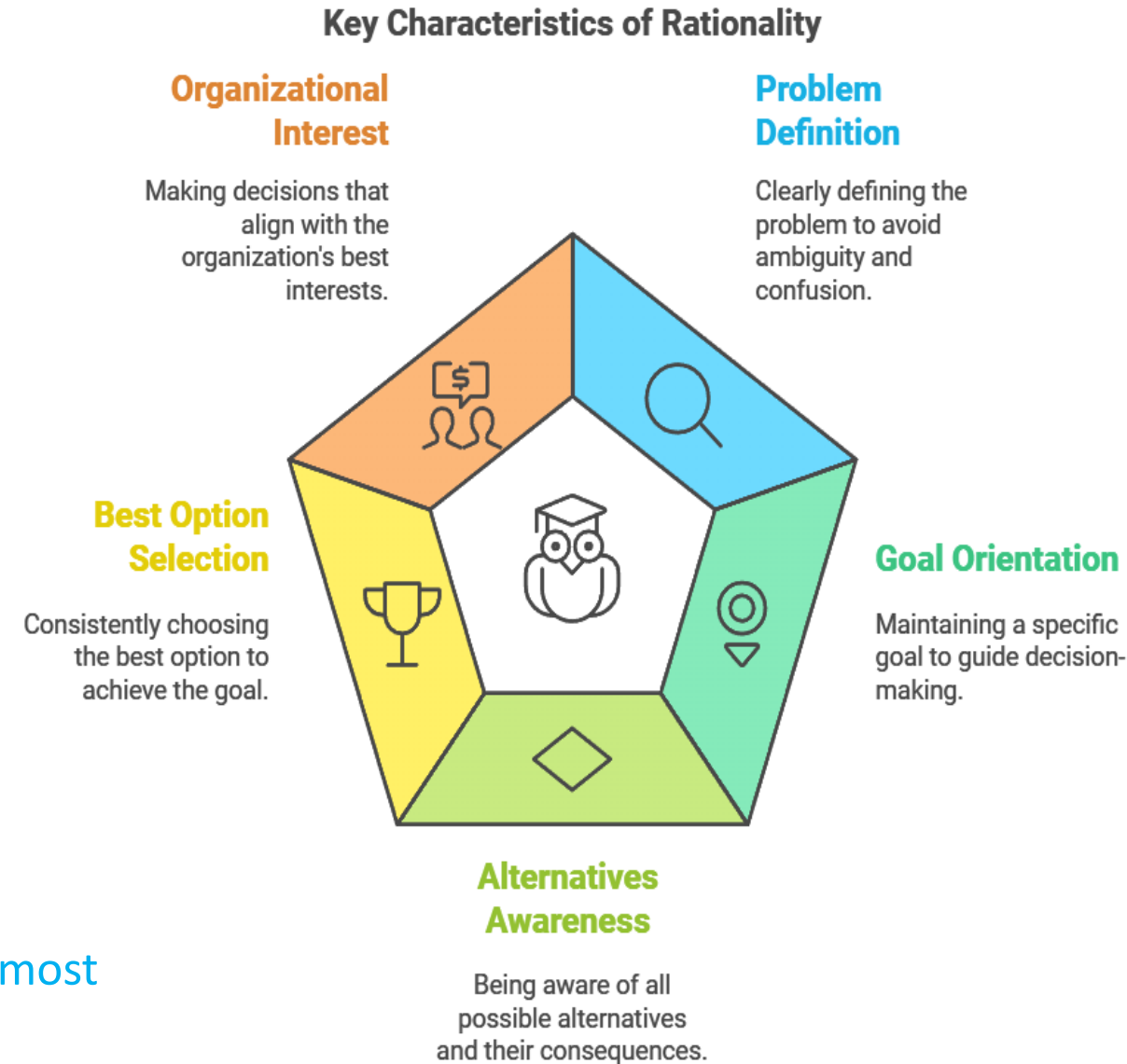
Rational decision making

Deciding on choices that are logical and consistent and maximize value

The Assumption:

- We often assume managers make decisions rationally.
- This means being objective, logical, and focused on maximizing value for the organization.

Example: A manager analyzing market data to choose the most profitable location for a new store.



2- Bounded Rationality

Decision making that's rational but limited (bounded) by an individual's ability to process information

The Assumption:

- **Bounded Rationality:** Realistically, managers are limited by their ability to process all information.
- Due to these limits, they can't analyze every alternative.
- As a result, they often **satisfice**—choosing a solution that is "good enough" rather than perfect.
- Managers still try to be rational within their limits.
- They gather information and weigh options, but they may stop when they find a satisfactory solution.

Example : In organizations, bounded rationality can affect decision-making processes, leading to suboptimal strategies and outcomes. Recognizing these limitations can help organizations develop better decision-making frameworks.



3- Intuition

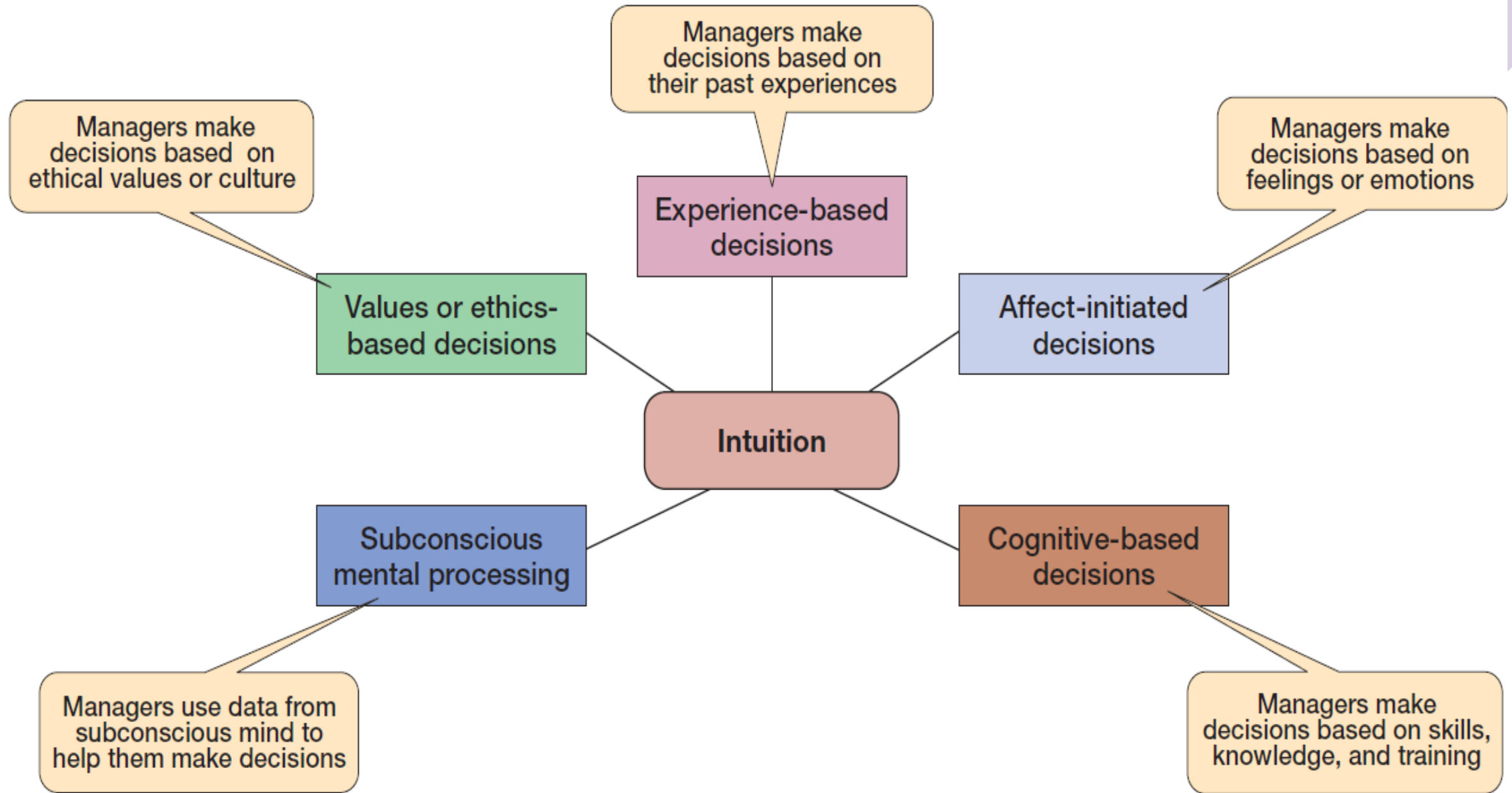
Intuitive decision making

Making decisions on the basis of **experience**, **feelings**, and **accumulated judgment**.

- Surprisingly Common:** Many executives rely on intuition more than formal analysis when making decisions.
- Intuition Can Be Useful:** Especially in complex or uncertain situations where data is limited.
- Embrace Emotions:** Understanding and acknowledging your emotions can actually improve decision-making performance.

•**Example:** **An experienced doctor making a quick diagnosis based on a patient's symptoms and their own years of medical knowledge.**





4- Evidence-Based Management (EBMgt)

Evidence-Based Management:

- The systematic use of the best available evidence to improve management practice.

What Counts as Evidence?

- Data and Research:** Statistics, reports, and scientific findings.
- Expert Opinions:** Insights from those with specialized knowledge
- Past Experience:** Learning from what worked (or didn't) before.

Benefits:

- EBMgt helps overcome biases, promotes rationality, and leads to more informed choices.

Example:

- When deciding on a new office location, a manager considers cost data, employee preferences, and the company's values around sustainability and accessibility.



How to make informed decisions in Evidence-Based Management (EBMgt)?

Rely on Manager's Expertise

Leverage personal knowledge and judgment.



Consider External Evidence

Use data, research, and expert opinions.



Seek Stakeholder Input

Gather opinions and preferences of affected parties.



Assess Organizational Context

Factor in internal values and circumstances.





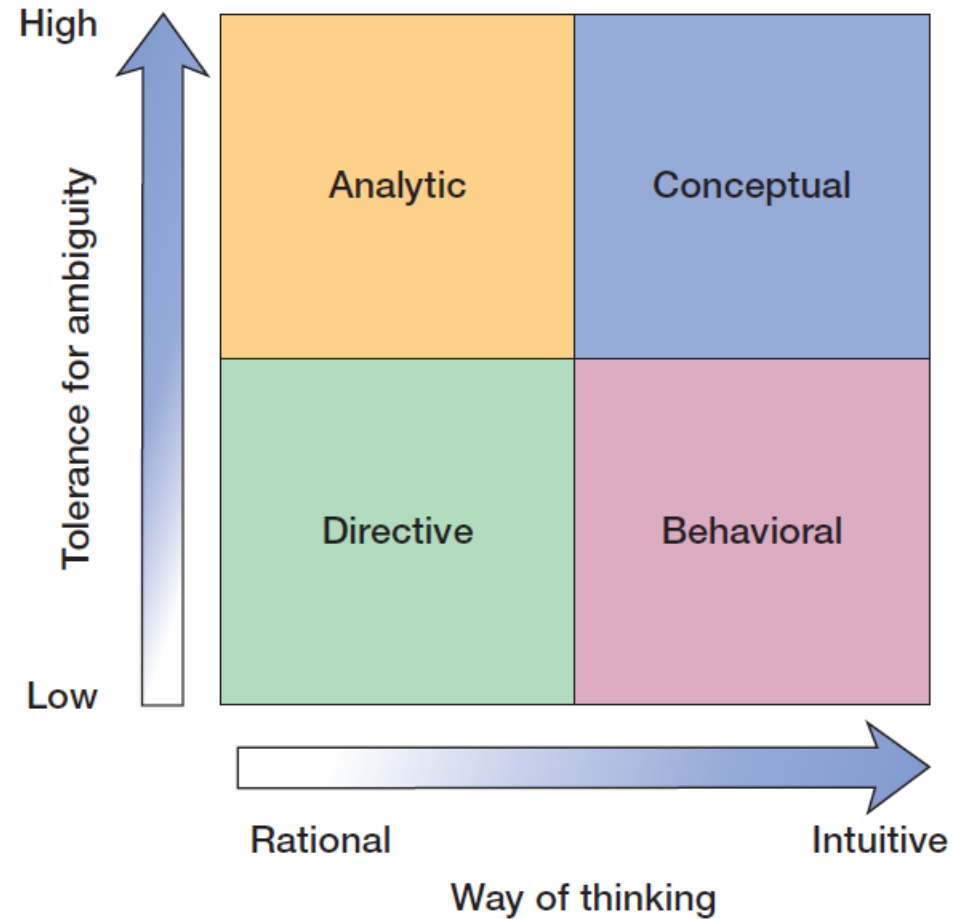
Decision-Making Styles

Decision-Making Styles

We All Have a Style: Just like with learning or communication, people have different preferred ways of making decisions.

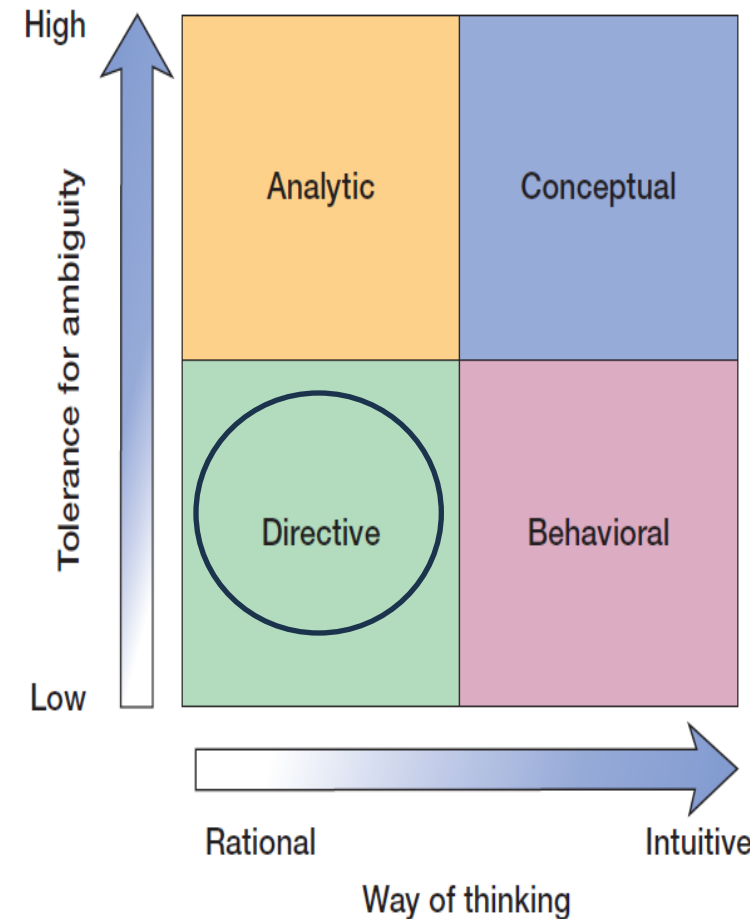
Two Key Dimensions:

- **Way of Thinking:** Are you more **rational** and **logical**, or **intuitive** and **creative**?
- **Tolerance for Ambiguity:** Do you **prefer certainty** and **structure**, or are you **comfortable** with **uncertainty** and **open to many possibilities**?



Directive

- **Low ambiguity tolerance, rational thinking.**
 - **Efficient**, logical, focus on short-term, quick decisions with limited information.
- Characteristics:**
- **Low Ambiguity Tolerance:** They dislike uncertainty and prefer clear-cut solutions. They want all the facts and figures laid out in a straightforward way. Gray areas make them uncomfortable.
 - **Rational Thinking:** They approach decisions in a logical, systematic manner. They rely on facts and data, breaking down problems into smaller, manageable parts.
 - **Efficiency is Key:** They value speed and efficiency in decision-making. They want to get things done quickly and move on to the next task.
 - **Short-Term Focus:** They prioritize immediate results and may not fully consider the long-term implications of their decisions.
 - **Limited Information:** Due to their desire for efficiency, they may make decisions with minimal information gathering. They may not explore all possible alternatives or gather extensive data.



Directive

Strengths	Weaknesses
Speed and efficiency: • They can make decisions quickly when time is of the essence. Decisiveness: • They don't get down in endless analysis or overthinking. Practicality: • They focus on practical solutions that address the immediate problem.	May overlook important information: • Their desire for speed can lead to overlooking crucial details or alternative solutions. May not consider long-term consequences: • Their focus on short-term results may lead to decisions that are not sustainable in the long run. May be inflexible: • Their low tolerance for ambiguity can make them resistant to change or new ideas.

Directive

Example

Imagine a retail manager facing a common problem: slow-moving inventory taking up valuable shelf space. A directive decision-maker in this role might:

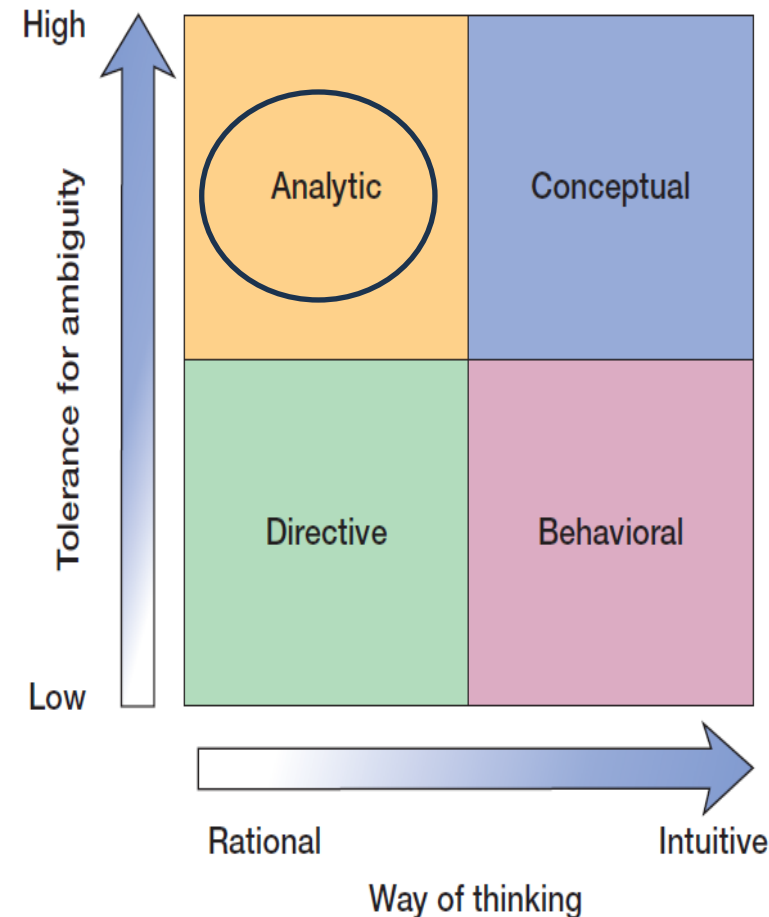
- **Quickly assess the situation:** They observe the low sales numbers and the approaching arrival of new merchandise.
- **Focus on the immediate problem:** The priority is to clear out the old stock to make room for the new.
- **Make a quick decision:** They decide to mark down the slow-moving items, perhaps by 20% or 30%.
- **Implement the solution promptly:** They instruct staff to change the price tags and display the discounted items prominently.
- **Not overthink it:** They don't spend time analyzing complex sales data or considering alternative solutions like bundling the items or returning them to the supplier.

Analytic

High ambiguity tolerance, rational thinking.

Characteristics:

- High Ambiguity Tolerance:** They are not afraid of uncertainty or complexity. They can handle situations where information is incomplete or conflicting, and they enjoy exploring different possibilities.
- Rational Thinking:** They are logical and objective, basing their decisions on data and analysis. They carefully consider all available information before reaching a conclusion.
- Careful and Thorough:** They take their time to gather and analyze data from various sources. They are detail-oriented and want to ensure they have a complete understanding of the situation.
- Adaptable:** They are open to new information and willing to adjust their approach as needed. They are not wedded to a particular solution and can change course if the data suggests a different path.
- Comfortable with Uncertainty:** They understand that not all decisions can be made with complete certainty. They are comfortable making decisions based on the best available information, even if there is some risk involved.



Analytic

Strengths

Thoroughness:

- They make well-informed decisions based on comprehensive analysis.

Objectivity:

- They are less likely to be swayed by emotions or biases.

Adaptability:

- They can adjust their approach as new information emerges.

Problem-solving skills:

- They are skilled at analyzing complex situations and identifying solutions.

Weaknesses

Can be slow to reach a decision:

- Their thoroughness can sometimes lead to delays in decision-making.

May overanalyze:

- They can sometimes get bogged down in details and miss the bigger picture.

May be indecisive:

- When faced with multiple options with similar pros and cons, they may struggle to make a final choice.

Analytic

Example

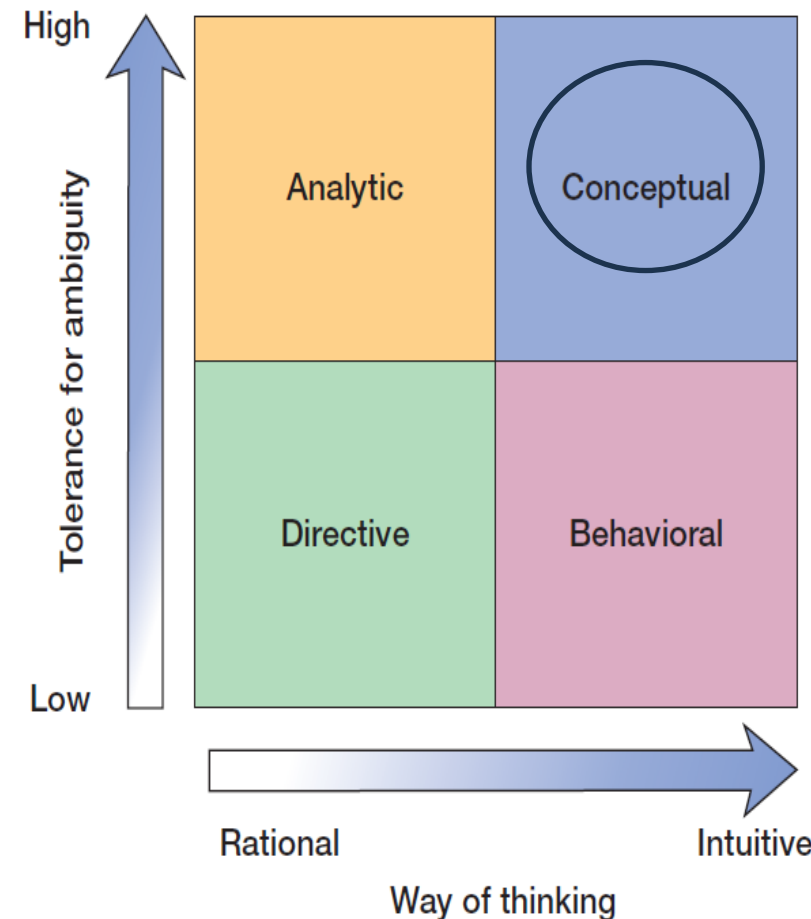
- Consider a market research analyst tasked with identifying emerging consumer trends. An analytic decision-maker might:
- **Gather data from multiple sources:** They might analyze sales data, conduct surveys, run focus groups, and study social media trends.
- **Explore different perspectives:** They would look for patterns and insights from various angles, considering economic, social, and technological factors.
- **Embrace complexity:** They wouldn't shy away from conflicting data or ambiguous trends. Instead, they would dig deeper to understand the underlying causes.
- **Remain objective:** They would avoid personal biases and let the data guide their conclusions.
- **Adapt to new findings:** As new information becomes available; they would be willing to revise their initial assessments and adjust their predictions.

Conceptual

High ambiguity tolerance, intuitive thinking.

Characteristics:

- High Ambiguity Tolerance:** They are comfortable with uncertainty and thrive in situations where information is incomplete or fluid. They see ambiguity as an opportunity for innovation and exploration.
- Intuitive Thinking:** They trust their gut feelings and instincts. They often rely on hunches and insights, seeing connections that others might miss.
- Creative and Innovative:** They are imaginative and enjoy generating new ideas. They are not afraid to think outside the box and challenge conventional wisdom.
- Long-Term Focus:** They consider the broader implications of their decisions, looking beyond immediate results to the long-term impact.
- Considers Many Alternatives:** They explore a wide range of options before settling on a solution. They are open to different perspectives and enjoy brainstorming possibilities.



Conceptual

Strengths	Weaknesses
Creativity and Innovation: • They excel at generating new ideas and finding creative solutions. Visionary Thinking: • They can see the big picture and anticipate future trends. Open-mindedness: • They are receptive to new ideas and different perspectives. Risk-taking: • They are willing to take calculated risks to pursue their goals.	Can be impractical: • Their focus on big ideas can sometimes lead to overlooking practical considerations. May be indecisive: • With so many options to consider, they may struggle to make a final choice. May lose sight of details: • Their focus on the big picture can sometimes lead to neglecting important details. May take too much risk: • Their willingness to take risks can sometimes lead to costly mistakes.

Conceptual

Example

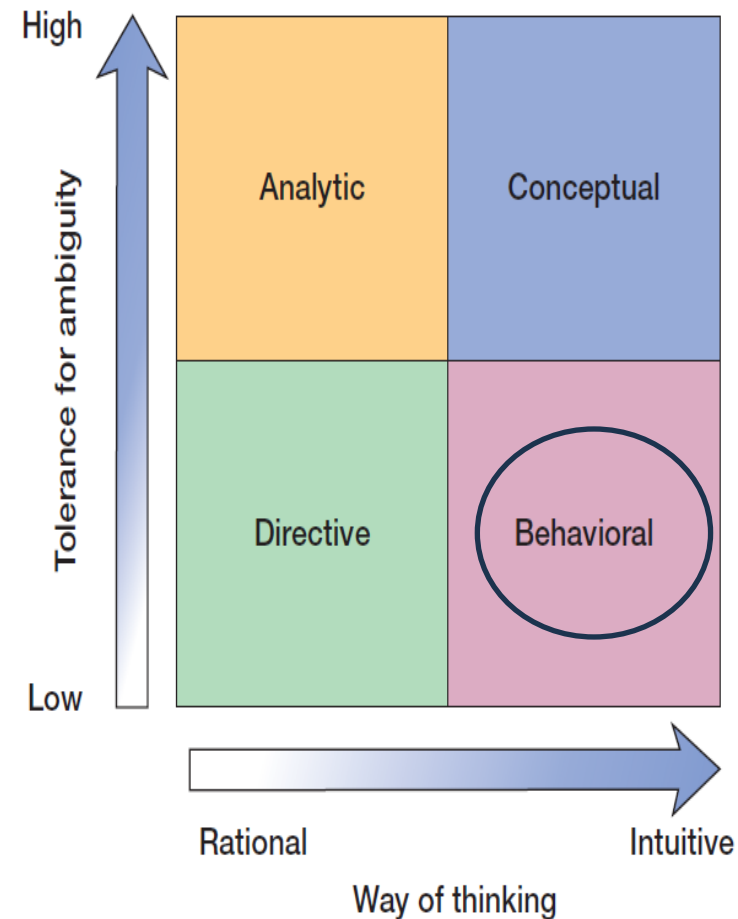
- Imagine an entrepreneur who has identified a gap in the market. A conceptual decision-maker might:
 - **Brainstorm freely:** They would generate a wide range of product ideas, exploring different features, functionalities, and target audiences.
 - **Embrace experimentation:** They might develop prototypes and test different concepts to see what resonates with potential customers.
 - **Think outside the box:** They wouldn't be limited by existing products or industry norms. They would seek to create something truly innovative and unique.
 - **Consider the future:** They would envision how the product could evolve over time, anticipating future trends and customer needs.
 - **Take calculated risks:** They would be willing to invest time and resources in pursuing their vision, even if it involves some uncertainty.

Behavioral

Low ambiguity tolerance, intuitive thinking.

Characteristics:

- Low Ambiguity Tolerance:** They prefer clear and structured information. They may feel uncomfortable with uncertainty and seek reassurance from others.
- Intuitive Thinking:** They rely on their gut feelings and instincts when making decisions. They are often influenced by emotions and personal values.
- Collaborative Approach:** They value teamwork and actively seek input from others. They believe that the best decisions are made through consensus and collaboration.
- People-Oriented:** They are empathetic and considerate of others' feelings. They prioritize the well-being of their team and strive to create a harmonious work environment.
- Conflict-Avoidant:** They prefer to avoid disagreements and seek solutions that satisfy everyone involved. They may be reluctant to make tough decisions that could upset others.



Behavioral

Strengths	Weaknesses
Collaboration and Teamwork: • They excel at building consensus and creating a supportive work environment. Empathy and Compassion: • They are sensitive to the needs and feelings of others. Communication Skills: • They are good at communicating with people and building relationships. Conflict Resolution: • They are skilled at resolving disagreements and finding common ground.	Can be indecisive: • Their desire to please everyone can make it difficult to make tough decisions. May avoid conflict: • Their reluctance to confront conflict can lead to unresolved issues. May be swayed by emotions: • Their reliance on intuition and feelings can sometimes cloud their judgment. May be slow to make decisions: • The collaborative process can take time and may delay decision-making.

Behavioral

Example

- Consider a human resources manager who is planning to make changes to the company's benefits package. A behavioral decision-maker in this role might:
- **Gather employee feedback:** They would conduct surveys, hold focus groups, and meet with individual employees to understand their needs and preferences.
- **Seek consensus:** They would try to find solutions that address the majority of employees' concerns and create a sense of fairness.
- **Consider the emotional impact:** They would be mindful of how the changes might affect employees' morale and well-being.
- **Communicate openly:** They would keep employees informed throughout the process and explain the rationale behind the decisions.
- **Foster a supportive environment:** They would create a space where employees feel comfortable sharing their opinions and concerns.

Decision Style	Ambiguity Tolerance	Way of Thinking	Key Characteristics	Strengths	Potential Weaknesses
Directive	Low	Rational	- Efficient, logical - Short-term focus - Quick decisions with limited information	- Speed - decisiveness - practicality	- Overlooks information, - Ignores long-term consequences - Inflexible
Analytic	High	Rational	- Careful, detailed - Adaptable, - Comfortable with uncertainty, data-driven	- Meticulousness - objectivity - Adaptability - problem-solving skills	- Slow to decide - Overanalyzes - Can be hesitant
Conceptual	High	Intuitive	- Creative, innovative, - Long-term focus - Considers many alternatives, visionary	- Creativity, visionary - Thinking - open-mindedness - risk-taking	- Impractical - Indecisive - May neglect details - May take too much risk
Behavioral	Low	Intuitive	- Collaborative - Seeks input - Concerned with people's feelings - Conflict-avoidant	- Collaboration - Empathy - communication skills - conflict resolution	- Indecisive - Avoids conflict - Swayed by emotions - Slow to decide

ACTIVITY WORKS

The logo for 'Activity Works' features the words in a bold, bubbly, sans-serif font. The letters are red with a thick blue outline and a thin yellow inner border. The word 'ACTIVITY' is on the top line, and 'WORKS' is on the bottom line. The letter 'O' in 'WORKS' is replaced by a large, light blue gear. Two smaller, identical light blue gears are positioned below the 'O' gear, one slightly to the left and one slightly to the right, creating a cascading effect. The background is white, with light blue geometric shapes in the corners: a large arrow-like shape in the top-left and a smaller triangle in the top-right.



**Which Decision-
Making Style
you are?!**

Interpreting Your Score

Score	Interpretation
32 – 25 Directive	You value efficiency and quick action. You prefer clear solutions and are comfortable making decisions with limited information.
24 – 17 Analytic	You are thorough and logical, preferring to analyze data before making decisions. You are comfortable with complex information and uncertainty.
16 - 9 Conceptual	You are a creative thinker with a long-term focus. You enjoy exploring possibilities and finding innovative solutions.
8 Behavioral	You are collaborative and people-oriented. You value input from others and strive for consensus in decision-making

The image features a central white square containing the text "Thank YOU!". The text is written in a dark blue, bold, sans-serif font. The word "Thank" is on the top line, and "YOU!" is on the bottom line. The letters of "YOU!" are significantly larger than those of "Thank". Surrounding the text are several light red, hand-drawn style wavy lines that form a decorative frame. The background of the entire image is white, with four overlapping geometric shapes in the corners: a light blue square in the top-left, a light purple square in the top-right, a light blue square in the bottom-left, and a light purple square in the bottom-right. Each of these corner squares contains a smaller, darker square of the same color, creating a layered effect.

Thank
YOU!